

WASTE CONNECTIONS, INC.

(NYSE: WCN)

A Superb Business at an Impossible Multiple

SELL — \$78.00 Target

Equity Research Note · Industrials — Waste Management · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$78.00	\$153.82	-49.3%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$39.0 bn (251.6 mn sh x \$153.82)	Price vs. FCF	~40x free cash flow
Net debt	~\$9.5 bn; modest for the sector	Adjusted EBITDA margin	Low 30s — best in class
52-week range	~\$146.89 - \$179.74	Next catalyst	Q4'26 pricing / acquisition update
TTM revenue	~\$9.5 bn		

1 Investment Thesis

Waste Connections is a superb business, and this is a valuation call, not a business-quality call. The company has spent two decades rolling up local solid-waste monopolies, pricing above inflation into captive commercial customers, and converting it all into prodigious free cash flow. It deserves a premium multiple. It does not deserve this multiple. At \$153.82, the shares trade at roughly 40 times free cash flow — a price that demands a decade of flawless tuck-in acquisitions, uninterrupted above-inflation pricing, and zero regulatory friction. Our probability-weighted fair value is \$78.00, implying 49% downside.

Our core judgment is that the market is capitalizing peak conditions into perpetuity. Waste Connections' pricing power is real but not infinite: commercial customers eventually push back, municipal contracts re-bid, and the acquisition targets that built the empire are getting scarcer and pricier with every deal. The marginal acquisition multiple has crept up for years — recent deal multiples have drifted into the low teens from the historical 6-9x EBITDA — which means each incremental dollar of deployed capital earns a lower return. A roll-up works until the targets run out or get too expensive; we are closer to that point than the price admits.

Consider the acquisition math directly. At 12-14x EBITDA paid, an acquisition must be flawless to earn its cost of capital — and the market capitalizes Waste Connections as though every future deal clears that bar. Roll-ups do not die dramatically; they fade into conglomerates trading at market multiples. We believe that fade has begun. Meanwhile the regulatory backdrop is quietly worsening: PFAS remediation obligations, methane-emission rules, and post-closure liabilities are real cash costs that the current multiple treats as footnotes.

Note what our scenarios imply: even our bull case — which assumes the roll-up machine keeps humming, accretive deals and pricing surprise to the upside — sits nearly 30% below today's price. When the bull case is a loss, the price is wrong. Our 25x normalized free-cash-flow multiple in the base case is itself a premium — the broad market trades near 20x — and we grant it for moat quality and still arrive 49% below the price. We rate the shares SELL and would revisit only after a derating commensurate with a maturing roll-up.

The roll-up math is fading

- **Deal multiples paid have drifted into the low teens.** The remaining independent operators are smaller, more competitive to acquire, and increasingly aware of their scarcity value. Each incremental dollar of deployed capital earns a lower return — the roll-up's engine is running on thinner fuel.
- **Environmental capex is the underappreciated variable.** PFAS treatment at landfills and leachate systems, plus methane-capture investments, will absorb a growing share of operating cash flow over our forecast horizon. None of this impairs the moat, but it trims the growth rate at the margin — and at 40x free cash flow there is no margin for trimming.
- **Multiple compression needs no operational misstep.** A derating from ~40x to ~25x free cash flow can happen with the business executing flawlessly. That is the primary risk to the shares, and it is a 49% risk.

2 Business Overview — What Waste Connections Is Doing

(The Woodlands, Texas (domiciled in Ontario, Canada))

Waste Connections, Inc., headquartered in The Woodlands, Texas (domiciled in Ontario, Canada), is the third-largest solid-waste company in North America, with roughly \$9 billion in annual revenue. The strategy is deliberately contrarian: dominate secondary and exclusive markets where competition is thin, then vertically integrate collection into transfer stations and landfills. The company also operates a sizable exploration-and-production waste business (R360) serving oil and gas basins. Growth has come roughly half from pricing and half from acquisitions, with adjusted EBITDA margins in the low 30s — best in class among the public waste operators.

The moat structure is genuinely exceptional: landfills are nearly impossible to permit in most jurisdictions, giving incumbents local monopolies with pricing power that has compounded for decades, and collection routes exhibit powerful density economics — each incremental stop on an existing route is nearly pure margin. This is why the business deserves a premium multiple in any rational framework. Our argument is purely about the price of that excellence.

What the company is doing now

- **The R360 energy-waste business adds hidden cyclicity.** Tying a portion of earnings to oilfield activity introduces a cyclicity the 'recession-proof compounder' narrative ignores.
- **Municipal renewals are seeing more aggressive bidding.** Competitors are targeting Waste Connections' high margins at contract renewal — not fatal, but another trim to the growth rate at the margin.
- **Capital allocation is the swing factor.** As deal multiples rise, the hurdle for buybacks falls — but repurchasing shares at 40x free cash flow destroys value as surely as overpaying for deals. Our base case assumes acquisition discipline holds; the bear case assumes it doesn't.

3 Financial Analysis

\$ bn	FY2023	FY2024	FY2025
Revenue	8.022	8.920	9.467
Free cash flow	1.193	1.173	1.220
Net income	0.763	0.618	1.077

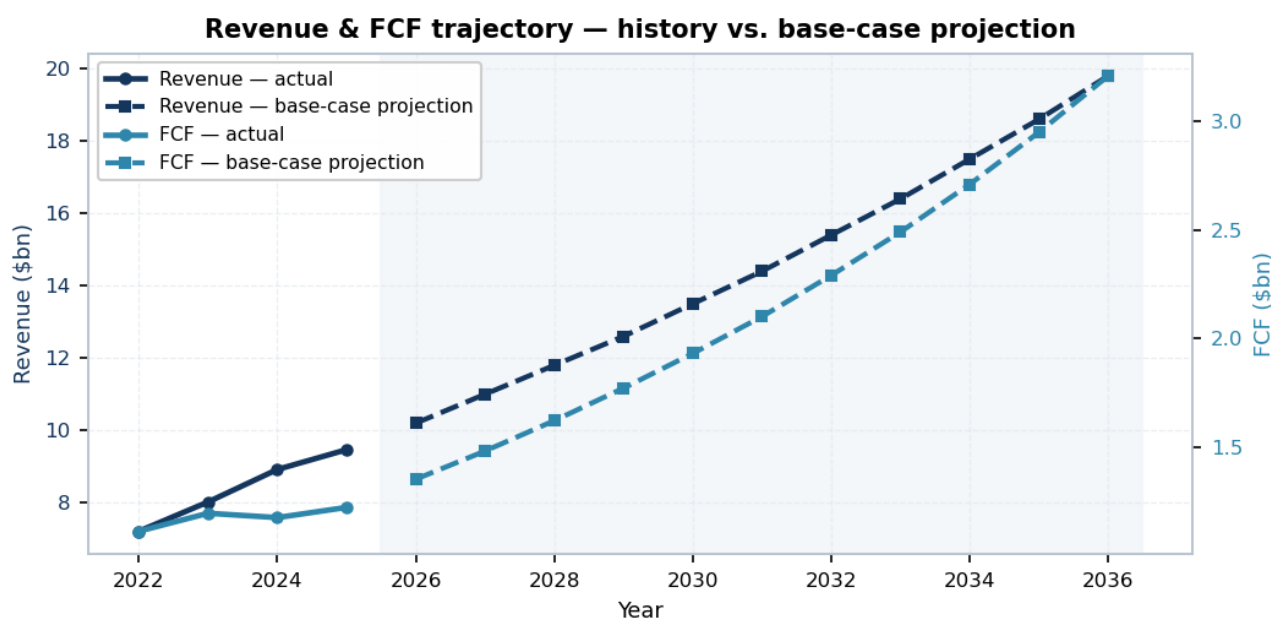
Source: company filings via yfinance; fiscal year ends Dec 31.

Revenue has compounded from \$7.2 billion in FY2022 to \$9.5 billion in FY2025, but free cash flow has barely moved — \$1.11 billion to \$1.22 billion — and the FCF margin has quietly eroded from 15.4% to 12.9%. The business is growing its top line while converting less of it to cash, exactly what the maturing-roll-up thesis predicts: rising environmental capex and pricier deals absorbing the incremental dollar.

Leverage is modest for the sector at ~\$9.5 billion of net debt, and the balance sheet is not the problem. The problem is purely the price: ~40x free cash flow for high-single-digit FCF-per-share growth is a multiple that assumes the roll-up

economics of 2015 persist indefinitely.

Revenue & cash-flow trajectory

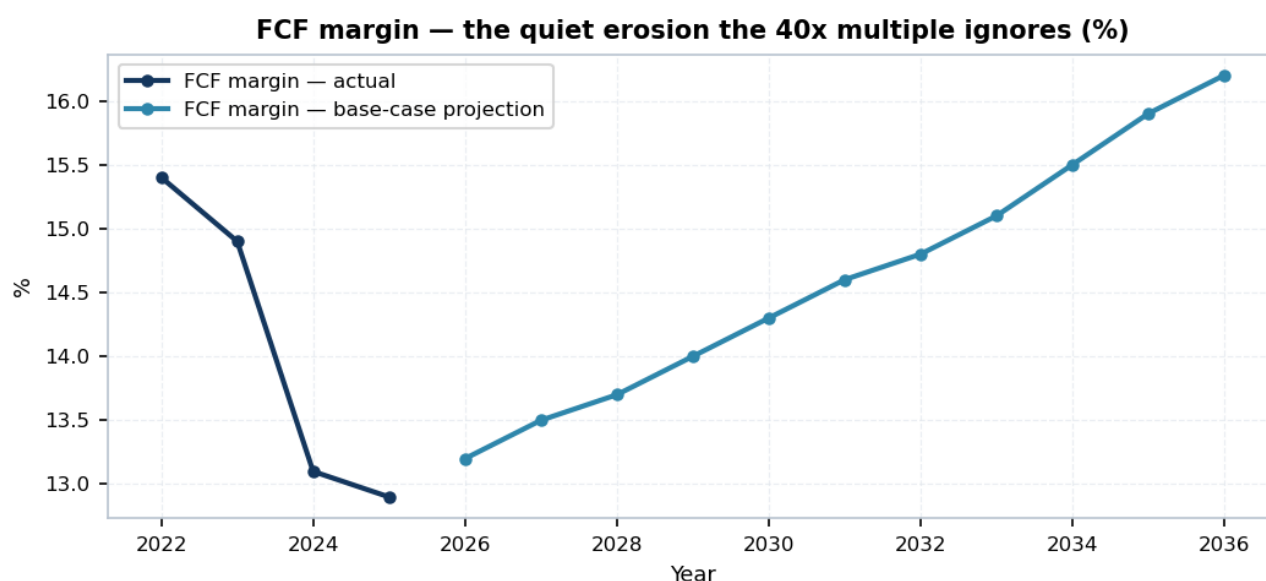


History: company filings via yfinance (FY ends Dec 31). Projection: base-case path from this note's scenario model — FCF per share compounds ~7%, margins hold in the low 30s.

4 Moat & Competition

- **Landfills are the best local monopolies in American business.** Nearly impossible to permit in most jurisdictions; incumbents hold pricing power that has compounded for decades. This moat is real and durable.
- **Route density economics.** Collection routes exhibit powerful density: each incremental stop on an existing route is nearly pure margin, rewarding the disciplined tuck-in strategy.
- **Exclusive-market strategy.** Dominating secondary markets where competition is thin avoids the urban price wars that plague less disciplined operators.
- **Moats deserve 25x free cash flow, not 40x.** We grant a full premium multiple for moat quality in the base case — and still arrive 49% below the price. The moat is not in question; the price of admission is.

FCF margin — the quiet erosion the 40x multiple ignores (%)



5 Valuation — 10-year scenario DCF, Fair Value \$78

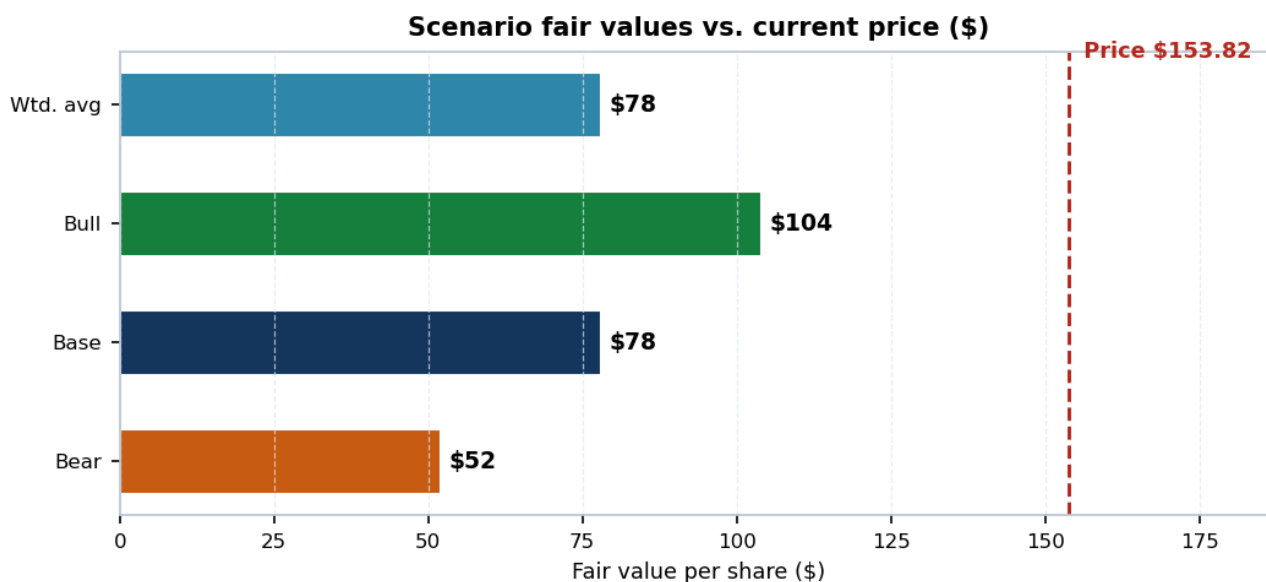
We value Waste Connections on a probability-weighted scenario DCF using a 9% base discount rate, reflecting the stability of the franchise (bear +250bp at 11.5%, bull floored at 8.0%), with an explicit country-risk assessment for the Canadian domicile (immaterial at these weights). Terminal growth is 1.5% / 2.0% / 2.5% on normalized cash flows.

In the bear case, acquisition multiples paid stay high while pricing power fades, free-cash-flow growth slows to 3%, and the multiple compresses toward 20x — implying value below \$60. In the base case, the company compounds free cash flow per share at roughly 7%, margins hold in the low 30s, and a 25x multiple on normalized free cash flow — still a full premium to the market — supports our \$78.00 target. In the bull case, accretive deals and pricing surprise to the upside and value approaches \$110.

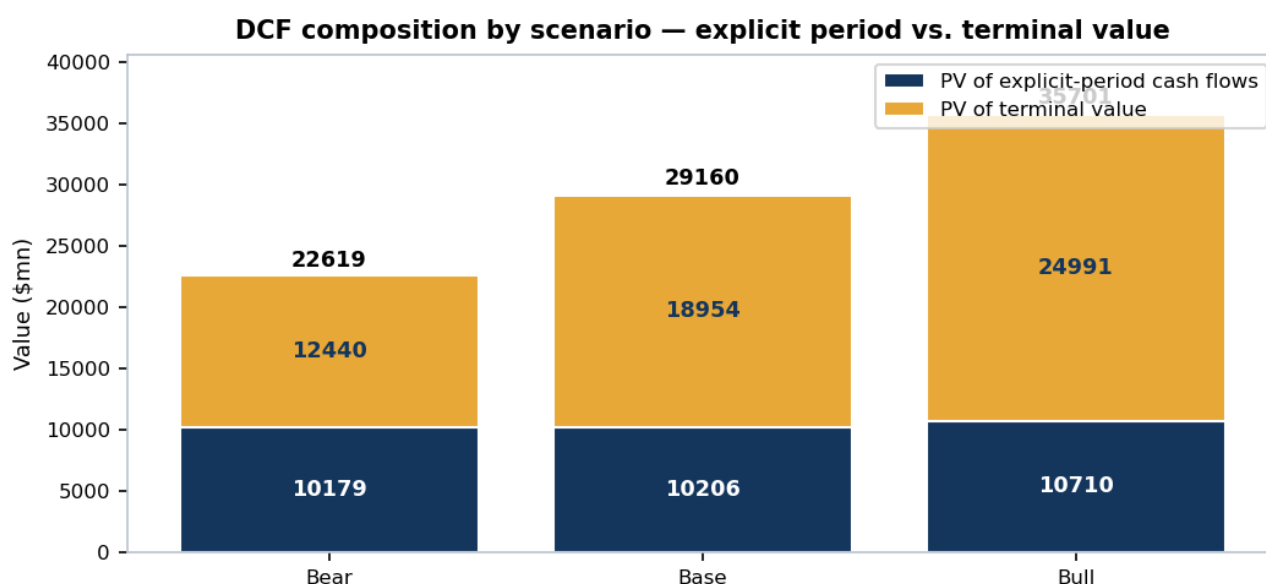
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Acquisition multiples paid stay high while pricing power fades; FCF growth slows to 3%; multiple compresses toward 20x	+3%	29%	11.5% / 1.5%	55%	\$52.00
Base	FCF per share compounds ~7%; EBITDA margins hold in the low 30s; 25x normalized FCF multiple — a full premium to the market	+6%	32%	9.0% / 2.0%	65%	\$78.00
Bull	Accretive deals and pricing surprise to the upside; roll-up math holds longer than we expect	+9%	34%	8.0% / 2.5%	70%	\$104.00
Wtd. avg	Probability-weighted (25/50/25) → \$78.00 target					\$78.00

Scenario FVs calibrated from the note's valuation ranges (bear: below \$60; base: \$78; bull: approaches \$110); $0.25 \times \$52 + 0.50 \times \$78 + 0.25 \times \$104 = \78.00 . Composition bars decompose each scenario's equity value (FV x 251.6 mn diluted shares, plus \$9.5 bn net debt) at the stated terminal-value shares.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Multiple compression is the primary risk.** A derating from ~40x to ~25x free cash flow needs no operational misstep at all.
- **Acquisition indigestion or overpayment.** Quality targets are becoming scarcer and pricier; overpaying would impair the roll-up math directly.
- **Environmental regulation.** PFAS, methane, and other rules raising capex and post-closure liabilities beyond our provisions.
- **Commercial-volume recession.** Would hit the highest-margin collection revenue first.
- **Leverage.** Modest for the sector, but limits flexibility if credit conditions tighten.

What would change our mind

Upgrade on evidence that acquisition multiples paid are falling while returns on new deals stay above 15% — the roll-up math working again; sustained double-digit free-cash-flow-per-share growth for several years, validating the current multiple; or regulatory clarity on PFAS with costs coming in well below our provisions. A derating of the shares toward our \$78 fair value would restore a reasonable risk/reward.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.